# Fositek

6805.TW | Taiwan Stock Exchange | 2026-10-07

## Q4 2027 model ceiling: TWD 2,590.41

Analytical Base 42/60 = 70 | Watch

20x forward-four-quarter IFRS operating profit per diluted end-window share

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in TWD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

## Decision in the model

| Active horizon | Earnings window | F4Q OP | Multiple | Diluted shares | Ceiling |
|---|---|---|---|---|---|
| Q4 2027 | Q4 2027 through Q3 2028 | 8,928.4 | 20x | 68.934 | 2,590.41 |

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

## The thesis and the invoice

Fositek earns revenue from precision mechanical parts rather than from a complete liquid-cooling plant. Its established products include foldable-phone hinges and notebook mechanisms. The expanding server business includes rails and fluid connectors. The investment case is that greater rack power and more complex coolant routing increase the value of these qualified interfaces. It is not a claim that Fositek owns the entire cooling bill of materials.

A quick disconnect has a demanding job. It must preserve flow, seal under the specified pressure and temperature, tolerate repeated connection, and avoid releasing liquid near expensive electronics. The customer's cost of a leak or delayed installation can substantially exceed the connector purchase price. Precision machining, sealing, cleanliness, assembly and production testing can therefore support value beyond the raw metal. Larger flow requirements and blind mating create additional engineering work, but also more opportunities for yield loss and warranty costs. Higher selling value does not automatically become the same percentage increase in profit.

The revenue recognition point is delivery of parts under the relevant customer terms. A rack's total connector wallet must be multiplied by the platform exposure and Fositek's qualified share. It must not be added to a complete cooling assembly sold by another company as though both were separate end-customer demand. The September JPMorgan engineering estimates provide a useful platform-content hypothesis; they do not establish Fositek's awarded revenue.

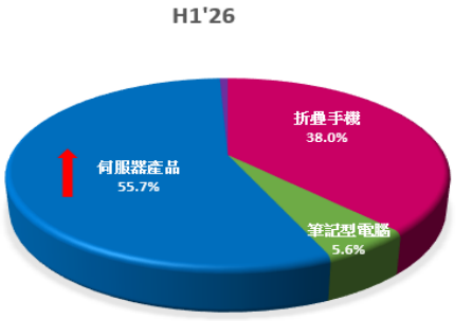
## The mix has already changed

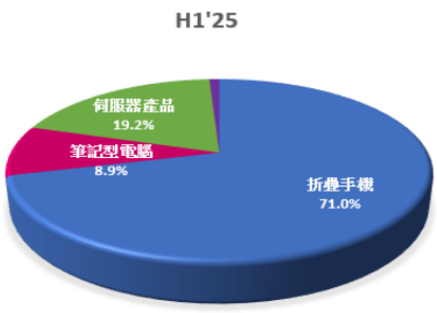
The May 5 original presentation shows that server products generated NT$2.362 billion, or 56.4%, of Q1 2026 sales. The August 4 presentation shows NT$4.418 billion, or 55.7%, for the first half. That second percentage is a six-month figure, not standalone Q2. Subtracting the rounded product tables implies approximately NT$2.056 billion of server revenue in Q2. A platform transition can therefore interrupt sequential shipments even during a strong annual expansion.

The same first-half table reports approximately NT$3.007 billion from foldable phones, NT$446 million from notebooks and NT$53 million from other products. These legacy categories remain important. A weaker folding-phone customer or a difficult handset launch can offset connector growth. The model does not assume that every dollar of consolidated revenue benefits from AI demand.

September monthly revenue, distributed as an issuer announcement on October 7, was NT$1.613339 billion. Together with July and August, it gives preliminary Q3 revenue of NT$4.501649 billion. The revenue total is anchored to those reported months. The product mix and profit for Q3 remain estimates until the quarterly statements are released. The direct MOPS endpoint was not recovered; the redistribution and exact publication date are retained in the source register.

# 產品組合



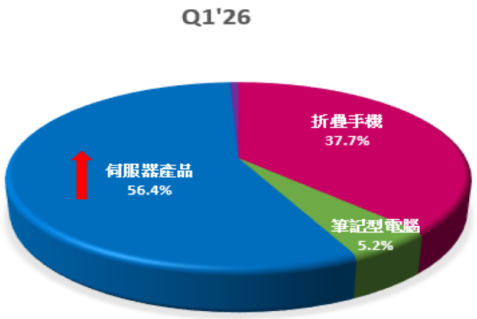

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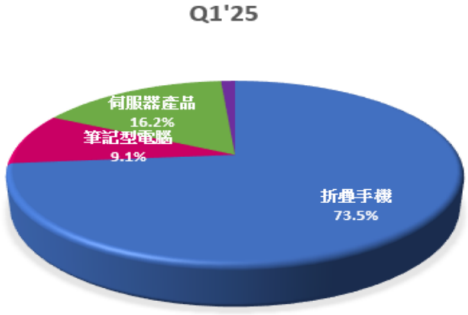
| 產品組合 | H1'26 | | H1'25 | | YoY | |
|---|---|---|---|---|---|---|
| 折疊手機 | 3,007 | 38.00% | 3,459 | 71.00% | (452) | (13.07%) |
| 筆記型電腦 | 446 | 5.60% | 433 | 8.90% | 13 | 3.00% |
| 伺服器產品 | 4,418 | 55.70% | 935 | 19.20% | 3,483 | 372.51% |
| 其他 | 53 | 0.70% | 45 | 0.90% | 8 | 17.78% |
| 合計 | 7,924 | 100.00% | 4,872 | 100.00% | 3,052 | 62.64% |

FOSITEK 4

Original issuer exhibit | Fositek H1 2026 product mix: server products are 55.7% of six-month sales. This is not a standalone Q2 mix, and it includes rails as well as cooling connectors.

# 產品組合




幣別：新台幣百萬

| 產品組合 | Q1'26 | | Q1'25 | | YoY | |
|---|---|---|---|---|---|---|
| 折疊手機 | 1,577 | 37.7% | 1,655 | 73.5% | (78) | (4.7%) |
| 筆記型電腦 | 217 | 5.2% | 205 | 9.1% | 12 | 5.9% |
| 伺服器產品 | 2,362 | 56.4% | 365 | 16.2% | 1,997 | 547.1% |
| 其他 | 28 | 0.7% | 27 | 1.2% | 1 | 3.7% |
| 合計 | 4,184 | 100.0% | 2,252 | 100.0% | 1,932 | 85.8% |

FOSITEK 3

Original issuer exhibit | Q1 product mix offers the sequential bridge: server products were 56.4% of revenue, versus 55.7% in the first half.

# Actual performance and calibration

The 2025 annual report records revenue of NT$12.414 billion and operating profit of NT$2.524 billion. Q2 2026 revenue was NT$3.740 billion, gross profit NT$1.273 billion and operating profit NT$1.043 billion. Gross margin reached 34.05%, although revenue fell sequentially from Q1. First-half operating profit of NT$2.164 billion already reflects a materially different product mix from the older hinge-heavy business.

The issuer does not disclose gross profit for connectors, rails or phone hinges individually. The model therefore uses explicit product-margin estimates and reconciles them with consolidated results. Assigning 22% to foldable-phone mechanisms, 20% to notebook mechanisms and 22% to other products implies roughly 42.2% for the combined first-half server category. That is a calibration result, not a disclosed segment margin. The forward reference starts server gross margin at 43.5%, then reduces it gradually to 39% in 2030 as competition and capacity respond.

The operating-cost bridge separates research and development, selling and administration, and a credit/warranty-administration reserve. Manufacturing depreciation remains in product cost rather than being added back. Engineering expenditure grows with the business. The reference does not hold the first-half expense dollars flat while revenue doubles. Actual employee compensation and share-based expense remain economic costs.

The active 2026 revenue path is approximately 39% above 2025, near the upper end of the 30-40% expansion attributed to management in August reporting. That comparison is a plausibility check, not an assertion that the original financial slides contain formal annual guidance. The May and August presentations were read in full; complete question-and-answer recordings were not independently transcribed.




Original issuer exhibit | Original Q2 income statement, NT$ millions. Higher product mix and conversion efficiency are visible; the issuer does not disclose gross margin by product.

## Competitive position and the parent channel

The annual report describes customer-specific co-design, computer-aided engineering, precision metal forming and manufacturing automation. Its intellectual-property count combines active patents and trademarks, so it should not be described as a count of patents alone. Qualification and reliability can discourage casual supplier changes. They do not establish a permanent monopoly. Jentech publicly offers universal quick disconnect products, while other precision-mechanism suppliers compete for rails and hinges. Standard interfaces can expand the market while making qualified second sourcing easier.

Asia Vital Components is identified as Fositek's controlling parent even though its direct ownership is 16.87%. The strategic relationship can provide thermal-system access and coordinated development. It also creates concentration and transfer-pricing questions. First-half sales to related parties were NT$4.066 billion, including NT$3.627 billion to AVC's Shenzhen company. The preceding annual report separately identifies a large unnamed customer. It is inappropriate to rename that customer from market rumor.

Fositek's own consolidated financial statements attribute all reported net income to its shareholders; there is no additional minority deduction in this company's model. AVC is different: its consolidated model must eliminate intercompany revenue and account for noncontrolling ownership. Adding all of Fositek's operating earnings to all of AVC's consolidated operating earnings would count the same production twice.

## The next connector generation

JPMorgan's September 30 architecture table estimates total quick-disconnect content per NVL72 rack of about US$9,400 for GB300, US$11,000 for Rubin and US$20,500 for Rubin Ultra. The proposed change includes more sophisticated internal connectors, larger external connectors and changes at the switch tray and rack manifold. The approximately doubled wallet combines count and specification changes. It is not a universal doubling of the price of an unchanged connector.

The reference forecast already includes rising server shipments and normal specification enrichment. The model then assigns a 55% probability to additional connector content above that reference. The eligible connector proxy is 60% of server revenue, explicitly an estimate because the issuer reports a combined server category. Conditional incremental revenue is 15% of that pool in the second half of 2027, 25% in 2028, 15% in 2029 and 5% in 2030. Incremental gross profit is 45% and incremental engineering expense is 5%, leaving 40% conditional operating-profit capture. No extra rack-volume multiplier is added to this branch.

A separate 30% probability applies to a bounded premium on new or repriceable contracts. Only 30% of the connector proxy is eligible. The conditional premium is 5% in 2027, 8% in 2028, 4% in 2029 and zero in 2030. Materials, expedited processing and testing absorb 30% of that increment, and operating expense absorbs another 5%. The premium applies only to original reference sales; it is not compounded onto the specification branch. This is an inference about customer willingness to pay for timely qualified supply, not a reported company price increase.

The adverse branch carries 25% probability. It removes or delays 10% of reference server sales and reduces the gross margin of the remaining 90% by three percentage points, with added qualification expense. Its effect halves after 2028. This bundles execution, yield and platform-transition risk into one economic outcome rather than treating correlated constraints as independent demand shocks.

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believe the VRU compute tray QD unit will be largely the same as VR with 20 (inside tray)+2 (outside of tray) units, but the 2 units of plug QD outside of tray will be upgraded to ZQD14 in VRU from UQD08 in previous gens, and 8 of the 20 inside-tray QDs for the two Bianca modules (upper half of tray) will also be upgraded to ZQD06 from MQD06, while the remaining 12 units (for the bottom half of tray) will stay at the MQD06 spec. Aside from the 22 units of MQD+ZQD, we believe there might be an additional 8 units of MiniQD for VRU compute tray, placed at the bottom half of tray. In terms of the QD content per compute tray, we model it to increase to ~US$750 for VRU vs US$400-500 for VR.

**Switch tray level: 2x QD unit adoption per VRU switch tray (1.5U) with the double-layered (2 boards per tray) architecture**

- **Cold plate:** Given the new design of "2 layers of boards per 1.5U switch tray (2 switch boards each at 0.75U)", we model the cooling content (including cold plate, QD and inner manifold) of the 1.5U switch tray to increase to at least US$3k, based on 2x cold plate module adopted given 2 switch boards.
- **QD:** The QD units inside the "1.5U" VRU switch tray will likely double vs that in VR, implying an increase to (8+2) units from (4+2) units, given 2 layers/boards per tray. Although the 8 units of QD inside the VRU switch tray should all remain with the MQD06 spec, the 2x unit increase still drives overall QD content growth. In addition, the 2 QDs outside of VRU switch tray will be upgraded to ZQD14 from UQD08 in VR, which also adds incremental content from ASP increase for these 2 plug QDs. In total, we model the QD content per switch tray to increase to ~US$260 for VRU vs ~US$150 for VR, based on our estimates.

Table 3: Meaningful QD spec upgrades in VRU with ~100% content increase per NVL72 rack

| | GB300 NVL72 | Vera Rubin NVL72 | Vera Rubin Ultra (VRU) NVL72 |
|---|---|---|---|
| Compute tray | 18 trays | 18 trays | 18 trays |
| - inside-tray QD | 8*UQD | 20*MQD | 12*MQD+8*ZQD06+8*miniQD |
| - out-of-tray QD | 2*UQD (plug) | 2*UQD (plug) | 2*ZQD14 (plug) |
| Switch tray | 9 trays | 9 trays | 9 trays (1.5U; incl. 2 layers of board) |
| - inside-tray QD | 18*MQD | 4*MQD | 8*MQD (given 2 layers/boards) |
| - out-of-tray QD | 2*UQD (plug) | 2*UQD (plug) | 2*ZQD14 (plug) |
| Rack manifold (44U) | 88*UQD08 (socket) | 88*UQD08 (socket) | 88*ZQD014 (socket) |
| **Total QD content per NVL72 rack** | **~US$9,400** | **~US$11,000** | **~US$20,500** |

Source: J.P. Morgan estimates, Company data.

**Chip level: 3-piece/removable lid design in Rubin Ultra to drive 4-5x content growth**

- **Heat spreader/Lid:** Compared to the current 1-piece lid design in Rubin GPU, we believe Rubin Ultra GPU will adopt the "removable lid + stiffener + multiple screws" design (or so called 3-piece lid design), which should drive the heat

Original issuer exhibit | JPMorgan September 30 estimate: NVL72 QD content rises from about US$11,000 for Rubin to US$20,500 for Rubin Ultra. These are total connector wallets across suppliers, nested inside cooling content, not Fositek revenue or a same-SKU price increase.

## Balance sheet and funding

At June 30, cash and equivalents were NT$9.547 billion, bank borrowings NT$410 million and lease liabilities approximately NT$166.5 million. Reported first-half operating cash flow was NT$2.146 billion. However, the detailed cash-flow statement includes NT$972.54 million from other operating assets. Annualizing reported CFO without recognizing that release would overstate recurring cash conversion.

The forward funding check begins with the disclosed cash balance and uses operating profit after an assumed 21% cash tax, depreciation, a 25% working-capital investment against incremental quarterly sales, capital expenditure, dividends and lease cash payments. Annual capex rises from NT$1.0 billion in 2027 to NT$1.32 billion in 2030. These are modeled requirements, well above the first-half reported expenditure; they are not announced budgets. The projected cash balance remains positive without new equity or borrowing. Cash is not added separately to the earnings-based ceiling, preserving a simple and conservative claim on the operating business.

Absolute good-unit capacity remains unverified. The reference reaches roughly 2.4 times the Q3 2026 physical-output proxy by late 2030 after allowing for specification value. That is a material execution requirement. A new building, machine delivery or advertised nameplate output cannot by itself validate that path. Qualified shipments, cycle time, leak-test throughput and first-pass yield are the decisive checks.

## 簡明資產負債表

| 會計科目 | 2026.06.30 | 2025.06.30 | YoY | | 2026.03.31 | QoQ | |
|---|---|---|---|---|---|---|---|
| 現金及約當現金 | 9,547 | 6,234 | 3,313 | 53.14% | 8,031 | 1,516 | 18.88% |
| 應收帳款(含票據) | 2,800 | 807 | 1,993 | 246.96% | 3,486 | (686) | (19.68%) |
| 存貨 | 2,144 | 2,367 | (223) | (9.42%) | 2,629 | (485) | (18.45%) |
| 流動資產 | 14,617 | 9,563 | 5,054 | 52.85% | 14,925 | (308) | (2.06%) |
| 不動產、廠房及設備 | 842 | 757 | 85 | 11.23% | 889 | (47) | (5.29%) |
| 非流動資產 | 1,367 | 1,097 | 271 | 24.70% | 1,284 | 83 | 6.46% |
| 資產總額 | 15,984 | 10,660 | 5,325 | 49.95% | 16,209 | (225) | (1.39%) |
| 借款(含一年內到期長借) | 410 | 410 | 0 | 0.00% | 410 | 0 | 0.00% |
| 應付帳款(含票據) | 4,032 | 2,821 | 1,211 | 42.93% | 5,257 | (1,225) | (23.30%) |
| 流動負債 | 6,940 | 4,756 | 2,184 | 45.92% | 8,115 | (1,175) | (14.48%) |
| 非流動負債 | 690 | 567 | 123 | 21.69% | 671 | 19 | 2.83% |
| 負債總額 | 7,630 | 5,323 | 2,307 | 43.34% | 8,786 | (1,156) | (13.16%) |
| 股東權益總額 | 8,354 | 5,337 | 3,018 | 56.55% | 7,423 | 931 | 12.54% |
| 每股淨值 | 121.86 | 77.85 | 44.01 | 56.53% | 108.28 | 13.58 | 12.54% |

| 主要財務比率 | 2026.06.30 | 2025.06.30 | YoY | | 2026.03.31 | QoQ | |
|---|---|---|---|---|---|---|---|
| 流動比率 | 210.62% | 201.07% | 9.56% | 4.75% | 183.93% | 26.70% | 14.51% |
| 速動比率 | 179.60% | 151.01% | 28.59% | 18.94% | 151.37% | 28.23% | 18.65% |
| 負債比率 | 47.74% | 49.93% | (2.20%) | (4.40%) | 54.20% | (6.47%) | (11.93%) |
| 應收帳款收現天數 | 59 | 56 | 3 | 5.36% | 63 | (4) | (6.35%) |
| 存貨週轉天數 | 81 | 129 | (48) | (37.21%) | 84 | (3) | (3.57%) |

FOSITEK * 上述財務數據均經會計師查核 /核閱簽證；幣別為新台幣百萬元 5

Original issuer exhibit | June 30 balance sheet, NT$ millions. Cash is substantial, but working capital and related-party receivables require separate review.

# 現金流量表

| 會計科目 | H1'26 | H1'25 | YoY | |
|---|---|---|---|---|
| 折舊與攤銷 | 180 | 146 | 34 | 23% |
| 營業活動之現金流(出)入(A) | 2,146 | 563 | 1,583 | 281% |
| 資本支出(B) | (152) | (194) | 42 | (22%) |
| 投資活動之現金流(出)入 | (319) | (210) | (109) | 52% |
| 籌資活動之現金流(出)入 | (34) | (61) | 27 | (44%) |
| 期末現金餘額 | 9,547 | 6,234 | 3,313 | 53% |
| 自由現金流量(A)-(B) | 1,994 | 369 | 1,625 | 440% |



Original issuer exhibit | H1 cash flow, NT$ millions. The detailed statements identify a NT$972.54m release within other operating assets; do not annualize the entire reported CFO as recurring cash generation.

## Valuation, score and falsification

The model uses 20 times forward-four-quarter IFRS operating profit, with the valuation quarter plus the next three quarters and diluted shares at the end of that window. This measures a profitable components business without replacing the earnings base with a thematic revenue multiple. The starting share count is the first-half diluted weighted count of 68.591 million, close to 68.553896 million issued shares. A 0.25% annual prospective award reserve is an assumption. Parent-issued AVC employee options are not added to Fositek's shares.

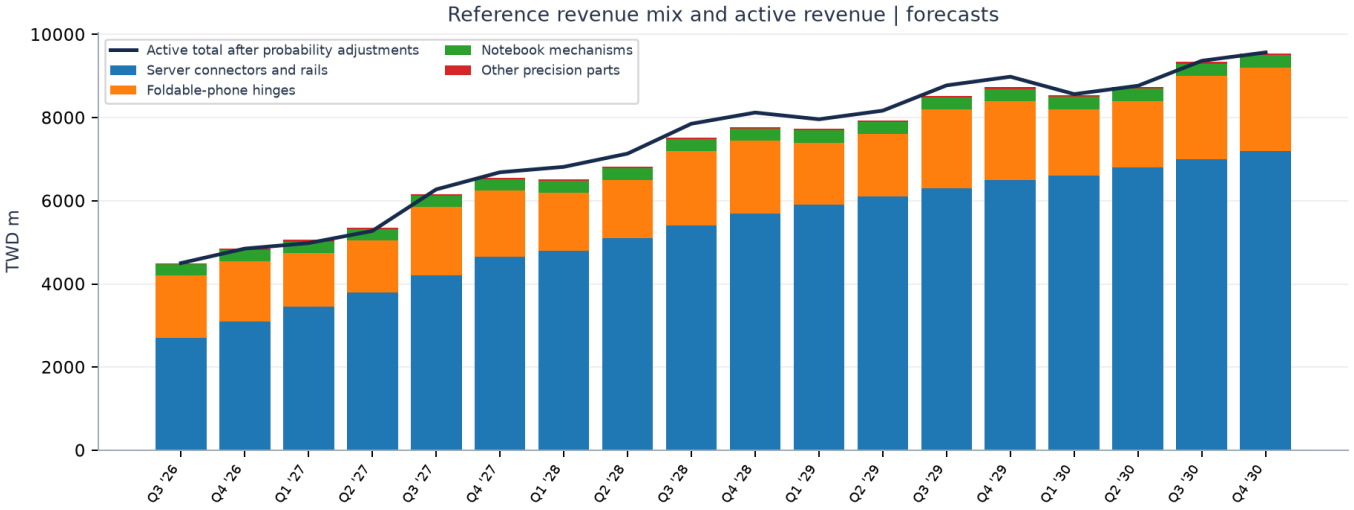
The proposed analytical Base is 70, derived from 42 out of 60 points: Core 15, Cycle 8, TAM 7, Catalysts 4, Macro 8, Alpha 4 and Risks minus 4. The result is a Watch classification. Precision qualification and realized server mix earn credit; customer concentration, competition, cross-border production and the interim review's limited-subsidiary scope prevent a higher score. The latter concerns unreviewed subsidiaries representing 12.7% of assets, not evidence of a discovered accounting error.

The thesis strengthens if server growth converts into cash, connector qualification broadens, and richer content sustains product margin after testing and warranty costs. It weakens if the nominal wallet expansion goes mainly to rivals, if extra manufacturing steps offset ASP gains, or if related-party receivables grow faster than accepted shipments. The next quarterly report, product qualification disclosures and evidence of saleable output are more useful than generic liquid-cooling market forecasts.

## Score arithmetic

| Category | Points | Evidence / treatment |
|---|---|---|
| Core thesis | 15 | See the scoring evidence and distinct risk classes in the analysis. |
| Cycle | 8 | See the scoring evidence and distinct risk classes in the analysis. |
| TAM | 7 | See the scoring evidence and distinct risk classes in the analysis. |
| Catalysts | 4 | See the scoring evidence and distinct risk classes in the analysis. |
| Macro | 8 | See the scoring evidence and distinct risk classes in the analysis. |
| Alpha | 4 | See the scoring evidence and distinct risk classes in the analysis. |
| Risk classes | -4 | See the scoring evidence and distinct risk classes in the analysis. |
| Total | 42/60 | Rounded Base 70. Both artifact and new workbook row use this score; this is not a manual override. |

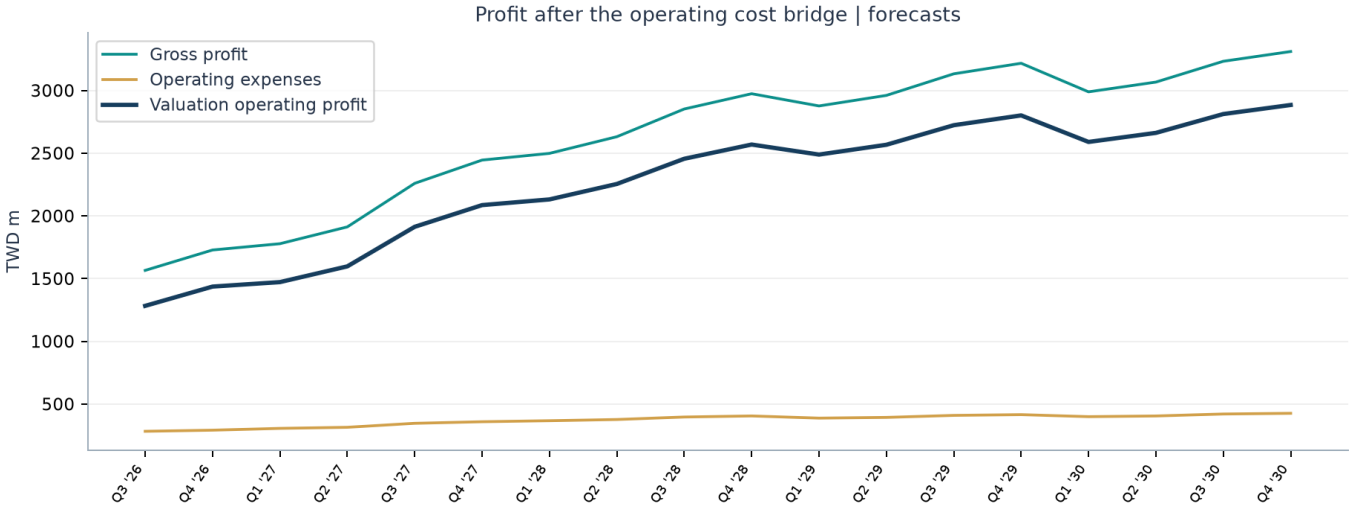
# Revenue and business mix




Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

| Quarter | Reference revenue | Weighted net change | Active revenue |
|---|---|---|---|
| Q3 2026 | 4,501.6 | 0.0 | 4,501.6 |
| Q4 2026 | 4,850.0 | 0.0 | 4,850.0 |
| Q1 2027 | 5,060.0 | -76.9 | 4,983.1 |
| Q2 2027 | 5,360.0 | -84.7 | 5,275.3 |
| Q3 2027 | 6,160.0 | 114.2 | 6,274.2 |
| Q4 2027 | 6,560.0 | 126.5 | 6,686.5 |
| Q1 2028 | 6,520.0 | 296.7 | 6,816.7 |
| Q2 2028 | 6,820.0 | 315.3 | 7,135.3 |
| Q3 2028 | 7,520.0 | 333.8 | 7,853.8 |
| Q4 2028 | 7,770.0 | 352.4 | 8,122.4 |
| Q1 2029 | 7,730.0 | 231.0 | 7,961.0 |
| Q2 2029 | 7,930.0 | 238.9 | 8,168.9 |
| Q3 2029 | 8,530.0 | 246.7 | 8,776.7 |
| Q4 2029 | 8,730.0 | 254.5 | 8,984.5 |
| Q1 2030 | 8,540.0 | 26.4 | 8,566.4 |
| Q2 2030 | 8,740.0 | 27.2 | 8,767.2 |
| Q3 2030 | 9,340.0 | 28.0 | 9,368.0 |
| Q4 2030 | 9,540.0 | 28.8 | 9,568.8 |

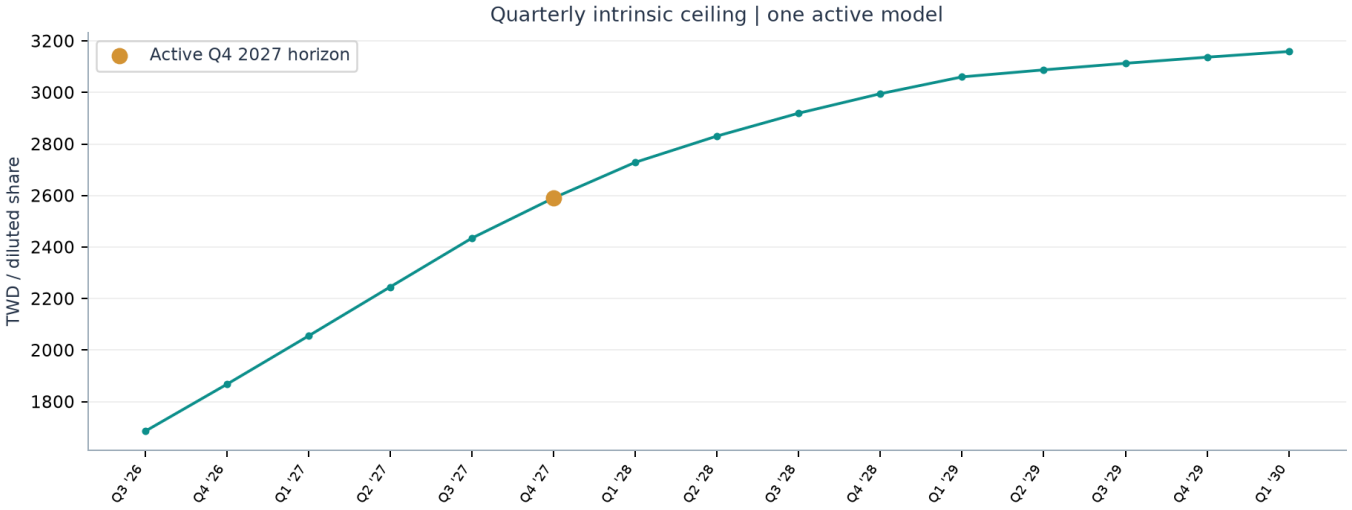
# Gross profit, operating expenses and earnings




Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

| Quarter | Revenue | GP | Opex | Valuation OP | OP margin |
|---|---|---|---|---|---|
| Q3 2026 | 4,501.6 | 1,565.7 | 282.8 | 1,282.9 | 28.5% |
| Q4 2026 | 4,850.0 | 1,728.3 | 291.7 | 1,436.6 | 29.6% |
| Q1 2027 | 4,983.1 | 1,778.4 | 306.1 | 1,472.3 | 29.5% |
| Q2 2027 | 5,275.3 | 1,912.5 | 314.7 | 1,597.8 | 30.3% |
| Q3 2027 | 6,274.2 | 2,259.8 | 346.5 | 1,913.3 | 30.5% |
| Q4 2027 | 6,686.5 | 2,445.3 | 359.0 | 2,086.3 | 31.2% |
| Q1 2028 | 6,816.7 | 2,498.7 | 367.1 | 2,131.6 | 31.3% |
| Q2 2028 | 7,135.3 | 2,631.6 | 376.8 | 2,254.8 | 31.6% |
| Q3 2028 | 7,853.8 | 2,852.5 | 396.7 | 2,455.8 | 31.3% |
| Q4 2028 | 8,122.4 | 2,974.3 | 405.1 | 2,569.2 | 31.6% |
| Q1 2029 | 7,961.0 | 2,876.9 | 387.7 | 2,489.1 | 31.3% |
| Q2 2029 | 8,168.9 | 2,960.9 | 393.6 | 2,567.3 | 31.4% |
| Q3 2029 | 8,776.7 | 3,133.0 | 409.7 | 2,723.3 | 31.0% |
| Q4 2029 | 8,984.5 | 3,217.1 | 415.5 | 2,801.5 | 31.2% |
| Q1 2030 | 8,566.4 | 2,989.4 | 399.5 | 2,589.9 | 30.2% |
| Q2 2030 | 8,767.2 | 3,067.2 | 405.0 | 2,662.2 | 30.4% |
| Q3 2030 | 9,368.0 | 3,233.0 | 420.7 | 2,812.3 | 30.0% |
| Q4 2030 | 9,568.8 | 3,310.9 | 426.2 | 2,884.7 | 30.1% |

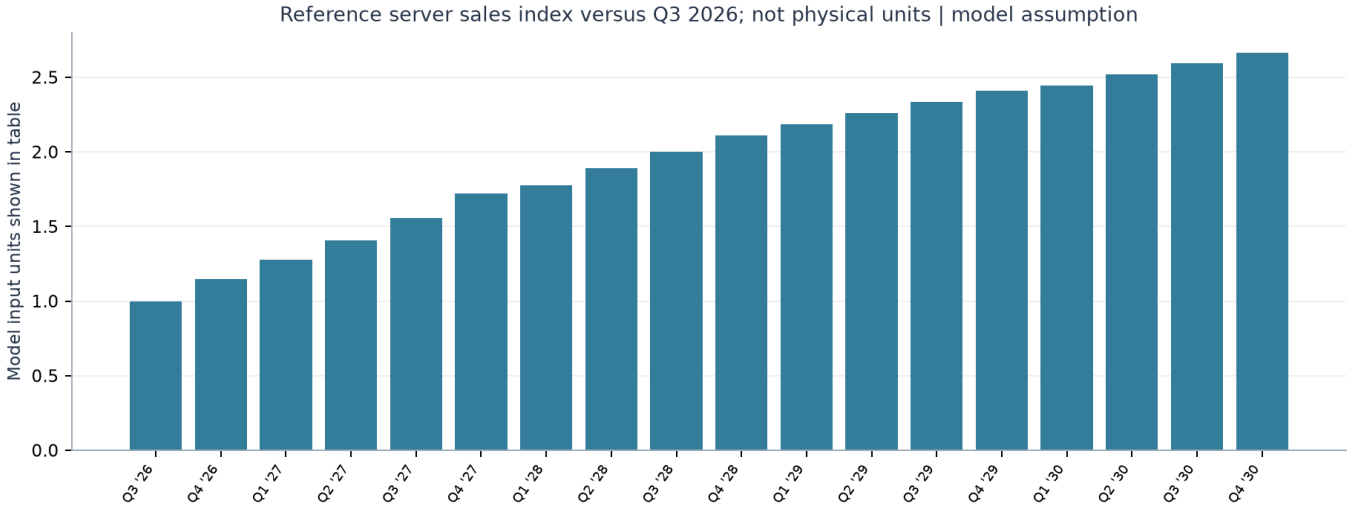
# The complete ceiling path




Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

| Quarter | Four-quarter earnings window | F4Q OP | Multiple | Shares | Ceiling |
|---|---|---|---|---|---|
| Q3 2026 | Q3 2026 to Q2 2027 | 5,789.6 | 20x | 68.720 | 1,685.00 |
| Q4 2026 | Q4 2026 to Q3 2027 | 6,420.0 | 20x | 68.762 | 1,867.29 |
| Q1 2027 | Q1 2027 to Q4 2027 | 7,069.6 | 20x | 68.805 | 2,054.96 |
| Q2 2027 | Q2 2027 to Q1 2028 | 7,728.9 | 20x | 68.848 | 2,245.20 |
| Q3 2027 | Q3 2027 to Q2 2028 | 8,385.9 | 20x | 68.891 | 2,434.53 |
| Q4 2027 | Q4 2027 to Q3 2028 | 8,928.4 | 20x | 68.934 | 2,590.41 |
| Q1 2028 | Q1 2028 to Q4 2028 | 9,411.4 | 20x | 68.977 | 2,728.82 |
| Q2 2028 | Q2 2028 to Q1 2029 | 9,768.9 | 20x | 69.020 | 2,830.71 |
| Q3 2028 | Q3 2028 to Q2 2029 | 10,081.4 | 20x | 69.064 | 2,919.46 |
| Q4 2028 | Q4 2028 to Q3 2029 | 10,349.0 | 20x | 69.107 | 2,995.08 |
| Q1 2029 | Q1 2029 to Q4 2029 | 10,581.3 | 20x | 69.150 | 3,060.41 |
| Q2 2029 | Q2 2029 to Q1 2030 | 10,682.1 | 20x | 69.193 | 3,087.62 |
| Q3 2029 | Q3 2029 to Q2 2030 | 10,777.0 | 20x | 69.236 | 3,113.10 |
| Q4 2029 | Q4 2029 to Q3 2030 | 10,866.0 | 20x | 69.279 | 3,136.85 |
| Q1 2030 | Q1 2030 to Q4 2030 | 10,949.1 | 20x | 69.323 | 3,158.87 |

# The operating constraint behind the forecast




The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

| Quarter | Reference server sales index versus Q3 2026; not physical units | Status |
|---|---|---|
| Q3 2026 | 1.000 | Reported preliminary monthly revenue; product mix and profit modeled |
| Q4 2026 | 1.148 | Model assumption |
| Q1 2027 | 1.278 | Model assumption |
| Q2 2027 | 1.407 | Model assumption |
| Q3 2027 | 1.556 | Model assumption |
| Q4 2027 | 1.722 | Model assumption |
| Q1 2028 | 1.778 | Model assumption |
| Q2 2028 | 1.889 | Model assumption |
| Q3 2028 | 2.000 | Model assumption |
| Q4 2028 | 2.111 | Model assumption |
| Q1 2029 | 2.185 | Model assumption |
| Q2 2029 | 2.259 | Model assumption |
| Q3 2029 | 2.333 | Model assumption |
| Q4 2029 | 2.407 | Model assumption |
| Q1 2030 | 2.444 | Model assumption |
| Q2 2030 | 2.519 | Model assumption |
| Q3 2030 | 2.593 | Model assumption |
| Q4 2030 | 2.667 | Model assumption |

# Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

| Quarter | Revenue vector | Revenue | Gross margin | Gross profit |
|---|---|---|---|---|
| Q3 2026 | Server connectors and rails | 2,700.0 | 43.5% | 1,174.5 |
| Q3 2026 | Foldable-phone hinges | 1,510.0 | 22.0% | 332.2 |
| Q3 2026 | Notebook mechanisms | 260.0 | 20.0% | 52.0 |
| Q3 2026 | Other precision parts | 31.6 | 22.0% | 7.0 |
| Q4 2026 | Server connectors and rails | 3,100.0 | 43.5% | 1,348.5 |
| Q4 2026 | Foldable-phone hinges | 1,450.0 | 22.0% | 319.0 |
| Q4 2026 | Notebook mechanisms | 260.0 | 20.0% | 52.0 |
| Q4 2026 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q1 2027 | Server connectors and rails | 3,450.0 | 43.0% | 1,483.5 |
| Q1 2027 | Foldable-phone hinges | 1,300.0 | 22.0% | 286.0 |
| Q1 2027 | Notebook mechanisms | 270.0 | 20.0% | 54.0 |
| Q1 2027 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q2 2027 | Server connectors and rails | 3,800.0 | 43.0% | 1,634.0 |
| Q2 2027 | Foldable-phone hinges | 1,250.0 | 22.0% | 275.0 |
| Q2 2027 | Notebook mechanisms | 270.0 | 20.0% | 54.0 |
| Q2 2027 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q3 2027 | Server connectors and rails | 4,200.0 | 43.0% | 1,806.0 |
| Q3 2027 | Foldable-phone hinges | 1,650.0 | 22.0% | 363.0 |
| Q3 2027 | Notebook mechanisms | 270.0 | 20.0% | 54.0 |
| Q3 2027 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q4 2027 | Server connectors and rails | 4,650.0 | 43.0% | 1,999.5 |
| Q4 2027 | Foldable-phone hinges | 1,600.0 | 22.0% | 352.0 |
| Q4 2027 | Notebook mechanisms | 270.0 | 20.0% | 54.0 |
| Q4 2027 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q1 2028 | Server connectors and rails | 4,800.0 | 42.0% | 2,016.0 |
| Q1 2028 | Foldable-phone hinges | 1,400.0 | 22.0% | 308.0 |
| Q1 2028 | Notebook mechanisms | 280.0 | 20.0% | 56.0 |
| Q1 2028 | Other precision parts | 40.0 | 22.0% | 8.8 |

| Quarter | Revenue vector | Revenue | Gross margin | Gross profit |
|---|---|---|---|---|
| Q2 2028 | Server connectors and rails | 5,100.0 | 42.0% | 2,142.0 |
| Q2 2028 | Foldable-phone hinges | 1,400.0 | 22.0% | 308.0 |
| Q2 2028 | Notebook mechanisms | 280.0 | 20.0% | 56.0 |
| Q2 2028 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q3 2028 | Server connectors and rails | 5,400.0 | 42.0% | 2,268.0 |
| Q3 2028 | Foldable-phone hinges | 1,800.0 | 22.0% | 396.0 |
| Q3 2028 | Notebook mechanisms | 280.0 | 20.0% | 56.0 |
| Q3 2028 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q4 2028 | Server connectors and rails | 5,700.0 | 42.0% | 2,394.0 |
| Q4 2028 | Foldable-phone hinges | 1,750.0 | 22.0% | 385.0 |
| Q4 2028 | Notebook mechanisms | 280.0 | 20.0% | 56.0 |
| Q4 2028 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q1 2029 | Server connectors and rails | 5,900.0 | 40.5% | 2,389.5 |
| Q1 2029 | Foldable-phone hinges | 1,500.0 | 22.0% | 330.0 |
| Q1 2029 | Notebook mechanisms | 290.0 | 20.0% | 58.0 |
| Q1 2029 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q2 2029 | Server connectors and rails | 6,100.0 | 40.5% | 2,470.5 |
| Q2 2029 | Foldable-phone hinges | 1,500.0 | 22.0% | 330.0 |
| Q2 2029 | Notebook mechanisms | 290.0 | 20.0% | 58.0 |
| Q2 2029 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q3 2029 | Server connectors and rails | 6,300.0 | 40.5% | 2,551.5 |
| Q3 2029 | Foldable-phone hinges | 1,900.0 | 22.0% | 418.0 |
| Q3 2029 | Notebook mechanisms | 290.0 | 20.0% | 58.0 |
| Q3 2029 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q4 2029 | Server connectors and rails | 6,500.0 | 40.5% | 2,632.5 |
| Q4 2029 | Foldable-phone hinges | 1,900.0 | 22.0% | 418.0 |
| Q4 2029 | Notebook mechanisms | 290.0 | 20.0% | 58.0 |
| Q4 2029 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q1 2030 | Server connectors and rails | 6,600.0 | 39.0% | 2,574.0 |
| Q1 2030 | Foldable-phone hinges | 1,600.0 | 22.0% | 352.0 |
| Q1 2030 | Notebook mechanisms | 300.0 | 20.0% | 60.0 |

| Quarter | Revenue vector | Revenue | Gross margin | Gross profit |
|---|---|---|---|---|
| Q1 2030 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q2 2030 | Server connectors and rails | 6,800.0 | 39.0% | 2,652.0 |
| Q2 2030 | Foldable-phone hinges | 1,600.0 | 22.0% | 352.0 |
| Q2 2030 | Notebook mechanisms | 300.0 | 20.0% | 60.0 |
| Q2 2030 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q3 2030 | Server connectors and rails | 7,000.0 | 39.0% | 2,730.0 |
| Q3 2030 | Foldable-phone hinges | 2,000.0 | 22.0% | 440.0 |
| Q3 2030 | Notebook mechanisms | 300.0 | 20.0% | 60.0 |
| Q3 2030 | Other precision parts | 40.0 | 22.0% | 8.8 |
| Q4 2030 | Server connectors and rails | 7,200.0 | 39.0% | 2,808.0 |
| Q4 2030 | Foldable-phone hinges | 2,000.0 | 22.0% | 440.0 |
| Q4 2030 | Notebook mechanisms | 300.0 | 20.0% | 60.0 |
| Q4 2030 | Other precision parts | 40.0 | 22.0% | 8.8 |

# Operating-cost derivation

| Quarter | Research and development | Selling and administration | Credit and warranty administration reserve |
|---|---|---|---|
| Q3 2026 | 210.0 | 68.3 | 4.5 |
| Q4 2026 | 217.0 | 69.8 | 4.9 |
| Q1 2027 | 221.2 | 70.8 | 5.1 |
| Q2 2027 | 227.2 | 72.1 | 5.4 |
| Q3 2027 | 243.2 | 75.7 | 6.2 |
| Q4 2027 | 251.2 | 77.5 | 6.6 |
| Q1 2028 | 250.4 | 77.3 | 6.5 |
| Q2 2028 | 256.4 | 78.7 | 6.8 |
| Q3 2028 | 270.4 | 81.8 | 7.5 |
| Q4 2028 | 275.4 | 83.0 | 7.8 |
| Q1 2029 | 274.6 | 82.8 | 7.7 |
| Q2 2029 | 278.6 | 83.7 | 7.9 |
| Q3 2029 | 290.6 | 86.4 | 8.5 |
| Q4 2029 | 294.6 | 87.3 | 8.7 |
| Q1 2030 | 290.8 | 86.4 | 8.5 |
| Q2 2030 | 294.8 | 87.3 | 8.7 |
| Q3 2030 | 306.8 | 90.0 | 9.3 |
| Q4 2030 | 310.8 | 90.9 | 9.5 |

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

# Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

| Quarter | Branch | p | Conditional revenue | Conditional GP | Conditional opex | Weighted OP |
|---|---|---|---|---|---|---|
| Q3 2026 | FOS-SPEC | 55% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q3 2026 | FOS-PRICE | 30% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q3 2026 | FOS-RISK | 25% | -0.0 | -0.0 | 0.0 | -0.0 |
| Q4 2026 | FOS-SPEC | 55% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q4 2026 | FOS-PRICE | 30% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q4 2026 | FOS-RISK | 25% | -0.0 | -0.0 | 0.0 | -0.0 |
| Q1 2027 | FOS-SPEC | 55% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q1 2027 | FOS-PRICE | 30% | 31.1 | 21.7 | 1.6 | 6.1 |
| Q1 2027 | FOS-RISK | 25% | -345.0 | -241.5 | 34.5 | -69.0 |
| Q2 2027 | FOS-SPEC | 55% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q2 2027 | FOS-PRICE | 30% | 34.2 | 23.9 | 1.7 | 6.7 |
| Q2 2027 | FOS-RISK | 25% | -380.0 | -266.0 | 38.0 | -76.0 |
| Q3 2027 | FOS-SPEC | 55% | 378.0 | 170.1 | 18.9 | 83.2 |
| Q3 2027 | FOS-PRICE | 30% | 37.8 | 26.5 | 1.9 | 7.4 |
| Q3 2027 | FOS-RISK | 25% | -420.0 | -294.0 | 42.0 | -84.0 |
| Q4 2027 | FOS-SPEC | 55% | 418.5 | 188.3 | 20.9 | 92.1 |
| Q4 2027 | FOS-PRICE | 30% | 41.9 | 29.3 | 2.1 | 8.2 |
| Q4 2027 | FOS-RISK | 25% | -465.0 | -325.5 | 46.5 | -93.0 |
| Q1 2028 | FOS-SPEC | 55% | 720.0 | 324.0 | 36.0 | 158.4 |
| Q1 2028 | FOS-PRICE | 30% | 69.1 | 48.4 | 3.5 | 13.5 |
| Q1 2028 | FOS-RISK | 25% | -480.0 | -331.2 | 48.0 | -94.8 |
| Q2 2028 | FOS-SPEC | 55% | 765.0 | 344.2 | 38.2 | 168.3 |
| Q2 2028 | FOS-PRICE | 30% | 73.4 | 51.4 | 3.7 | 14.3 |
| Q2 2028 | FOS-RISK | 25% | -510.0 | -351.9 | 51.0 | -100.7 |
| Q3 2028 | FOS-SPEC | 55% | 810.0 | 364.5 | 40.5 | 178.2 |
| Q3 2028 | FOS-PRICE | 30% | 77.8 | 54.4 | 3.9 | 15.2 |
| Q3 2028 | FOS-RISK | 25% | -540.0 | -372.6 | 54.0 | -106.6 |
| Q4 2028 | FOS-SPEC | 55% | 855.0 | 384.8 | 42.8 | 188.1 |

| Quarter | Branch | p | Conditional revenue | Conditional GP | Conditional opex | Weighted OP |
|---|---|---|---|---|---|---|
| Q4 2028 | FOS-PRICE | 30% | 82.1 | 57.5 | 4.1 | 16.0 |
| Q4 2028 | FOS-RISK | 25% | -570.0 | -393.3 | 57.0 | -112.6 |
| Q1 2029 | FOS-SPEC | 55% | 531.0 | 239.0 | 26.6 | 116.8 |
| Q1 2029 | FOS-PRICE | 30% | 42.5 | 29.7 | 2.1 | 8.3 |
| Q1 2029 | FOS-RISK | 25% | -295.0 | -199.1 | 29.5 | -57.2 |
| Q2 2029 | FOS-SPEC | 55% | 549.0 | 247.1 | 27.5 | 120.8 |
| Q2 2029 | FOS-PRICE | 30% | 43.9 | 30.7 | 2.2 | 8.6 |
| Q2 2029 | FOS-RISK | 25% | -305.0 | -205.9 | 30.5 | -59.1 |
| Q3 2029 | FOS-SPEC | 55% | 567.0 | 255.2 | 28.4 | 124.7 |
| Q3 2029 | FOS-PRICE | 30% | 45.4 | 31.8 | 2.3 | 8.8 |
| Q3 2029 | FOS-RISK | 25% | -315.0 | -212.6 | 31.5 | -61.0 |
| Q4 2029 | FOS-SPEC | 55% | 585.0 | 263.2 | 29.2 | 128.7 |
| Q4 2029 | FOS-PRICE | 30% | 46.8 | 32.8 | 2.3 | 9.1 |
| Q4 2029 | FOS-RISK | 25% | -325.0 | -219.4 | 32.5 | -63.0 |
| Q1 2030 | FOS-SPEC | 55% | 198.0 | 89.1 | 9.9 | 43.6 |
| Q1 2030 | FOS-PRICE | 30% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q1 2030 | FOS-RISK | 25% | -330.0 | -217.8 | 33.0 | -62.7 |
| Q2 2030 | FOS-SPEC | 55% | 204.0 | 91.8 | 10.2 | 44.9 |
| Q2 2030 | FOS-PRICE | 30% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q2 2030 | FOS-RISK | 25% | -340.0 | -224.4 | 34.0 | -64.6 |
| Q3 2030 | FOS-SPEC | 55% | 210.0 | 94.5 | 10.5 | 46.2 |
| Q3 2030 | FOS-PRICE | 30% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q3 2030 | FOS-RISK | 25% | -350.0 | -231.0 | 35.0 | -66.5 |
| Q4 2030 | FOS-SPEC | 55% | 216.0 | 97.2 | 10.8 | 47.5 |
| Q4 2030 | FOS-PRICE | 30% | 0.0 | 0.0 | 0.0 | 0.0 |
| Q4 2030 | FOS-RISK | 25% | -360.0 | -237.6 | 36.0 | -68.4 |

# Claim decisions, overlap and triggers

## FOS-SPEC

p: 0.55

signal: Higher-flow and blind-mate connector adoption; JPMorgan VRU architecture plus issuer annual qualification discussion.

Conditional: Additional eligible connector revenue above the reference: 0% through Q2 2027, 15% in H2 2027, 25% in 2028, 15% in 2029 and 5% in 2030.

scope: 60% of server revenue is an analyst connector proxy, not disclosed mix. Reference already contains normal unit growth and 10% specification mix uplift; branch is the residual after that overlap.

bridge: Incremental GP 45% and engineering/qualification opex 5% of conditional incremental revenue; 40% operating-profit capture.

timing: H2 2027 start; recognition only with qualified shipments.

counter: No exclusive ZQD award or verified absolute qualified capacity. Other suppliers can qualify. A larger total connector wallet need not preserve Fositek share.

## FOS-PRICE

p: 0.3

signal: Tight delivery and high customer cost of leak-tested connector delays, supported by attributed August management discussion and September engineering evidence.

Conditional: 5% premium in 2027, 8% in 2028, 4% in 2029, zero in 2030; no premium in 2026.

scope: Only 30% of the 60% connector proxy is new or repriceable. Premium applies to original reference sales only, never to the specification branch.

bridge: 70% incremental GP after materials, expedited processing and testing; 5% incremental opex. This is a 65% OP capture assumption, not announced pricing.

timing: New terms and accepted shipments in 2027-29; fixed-price backlog excluded.

counter: Standardization, buyer bargaining and capacity additions can absorb scarcity value; premium remains a bounded inference.

## FOS-RISK

p: 0.25

signal: Platform transition, qualification failures and customer concentration.

Conditional: 10% of reference server shipments lost or delayed and a 3 percentage-point margin penalty on the remaining 90%, plus 1% of reference server revenue in engineering expense, 2027-28; half in 2029-30.

scope: Single bundled execution state; no separate utilization or capacity-loss shock.

bridge: Lost sales remove their reference GP; remaining shipments bear rework/yield costs. Fixed opex is not reduced.

timing: 2027-30; no unreported Q3 revenue revision.

counter: Already shipped 2026 sales and robust balance sheet support the no-delay state.

# Remaining bounded uncertainties

- The issuer does not disclose connector versus rail revenue, SKU ASPs, qualified unit capacity or product-level gross profit. The 60% connector proxy and gross margins are labeled assumptions.

- Original May 5 and August 4 presentation slides were reviewed. Complete management Q&A audio was not transcribed; qualitative commentary reproduced in news is attributed and lower confidence.

- September revenue was retrieved from a redistribution of the issuer announcement; the direct MOPS document remains a source gap. Q3 profit is not yet reported.

- Reference server growth requires approximately 2.4x the modeled Q3 2026 physical output index by late 2030. Factory area and capex alone do not establish qualified output.

- The interim review contains a qualification for unreviewed smaller subsidiaries (12.7% of total assets). This is a scope limitation, not a restatement finding.

# Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.


[1] Fositek 2026 H1 Chinese investor presentation | 2026-08-04

https://mopsov.twse.com.tw/nas/STR/680520260804M001.pdf

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[2] Fositek 2026 Q1 Chinese investor presentation | 2026-05-05

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[3] 2025 Chinese annual report, issuer original via public filing mirror | 2026-04-02

https://cdn.financialreports.eu/financialreports/media/filings/52636/2026/RNS/52636_rns_2026-05-12_b3e3970c-32dd-431c-975c-696c1e2244b1.pdf

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[4] 2026 H1 reviewed consolidated financial statements, issuer English translation | 2026-08-04

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[6] September 2026 monthly revenue issuer notice redistributed by E.SUN | 2026-10-07

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[7] JPMorgan Taiwan Cooling Components, September 30, original supplied image | 2026-09-30

User-supplied JPMorgan September 30 Taiwan Cooling Components

[8] Jentech universal quick disconnect product

https://www.jentech.com.tw/uqd


The linked workbook and this artifact use the same saved operating model, financial claims and share schedule.